Monthly Market Review

October 2025

Global equity markets posted their sixth straight monthly gain in October, driven by easing U.S.-China trade tensions, solid U.S. corporate earnings, and a rate cut by the U.S. Federal Reserve (the Fed). In late October, trade talks between the U.S and China lifted global sentiment – the two sides agreed to a one-year deal that would pause steeper U.S. tariffs and ease China's export controls on rare earths. The agreement marked a constructive shift from tensions earlier in the month, which triggered the sharpest one-day decline in U.S. equities since the Liberation Day announcements in April.

The S&P 500 Index closed October 2.3% higher and the NASDAQ Composite Index rose 4.7%. The Japanese Nikkei 225 outperformed, up 16.6% with hopes for fiscal stimulus under new Prime Minister Sanae Takaichi. The S&P/ASX 200 Accumulation index lagged, up 0.4%.

Markets shrugged off the ongoing U.S. federal government shutdown, which began on 1 October 2025. The only official U.S. data released in October was September inflation, which was softer than expected. While the Fed reduced the target rate by 25 basis points to 3.75% - 4.0%, Fed Chair Jerome Powell cautioned that a further cut in December was not a foregone conclusion. Meanwhile, Australia's September quarter inflation was higher than expected, reducing the probability of a rate cut at the next Reserve Bank of Australia (RBA) meeting.

Commodity markets delivered mixed results in October. Gold reached multiple record highs, peaking at US$4,381/oz, before retreating more than 8% driven by profit-taking. Despite the pullback, gold closed the month up 3.7% at US$4,002/oz. Oil prices softened. West Texas Intermediate Crude declined 2.2% to US$60.98/bbl, while Brent Crude fell 2.9% to US$65.07/bbl, reflecting broader concerns around lower demand.

Australia

- The Australian equity market, as measured by the S&P/ASX 200 Accumulation Index, rose 0.4% in October, underperforming global peers. Materials (+4.3%) was the best performing sector, followed by Energy (+3.9%). Information Technology (-8.4%) and Consumer Discretionary (-6.9%) lagged. Australian bonds delivered small gains over the month, with the Bloomberg AusBond Composite Index (AUD) up 0.4%.
- Quarterly CPI was higher than expected, up 3.2% in the 12 months to September (up from 2.1% in the 12 months to June). The Trimmed mean inflation (which excludes volatile items) also rose in September, up 3.0% (up from 2.7% in June). This is the first time Trimmed mean annual inflation has increased since December 2022.
- The seasonally adjusted unemployment rate jumped to 4.5% in September (up from 4.3% in August) – the highest since November 2021. Meanwhile, the Westpac–Melbourne Institute Unemployment Expectations Index fell 2.9% to 127.6 in October, slightly below the long-run average, but still consistent with a stable labour market.
- The Consumer Sentiment index declined in October, down 3.5% to 92.1. and back to pessimistic levels. Consumer demand remains patchy, with the monthly household spending indicator rising just 0.2% in September (flat in August). Gains in food, health, and petrol were offset by drops in air travel and accommodation.
- Nationally, residential property price growth continued, increasing 0.6% as measured by the PropTrack Home Price Index. Adelaide prices climbed (1.9%) followed by Brisbane (0.9%).

International

- The S&P 500 Index climbed 2.3% in October, while the tech-heavy Nasdaq Composite outperformed, up 4.7%. Within the S&P 500 Index, Information Technology (+6.2%) and Health Care (+3.5%) outperformed, while Materials (-5.1%), Financials (-2.9%) and Real Estate (-2.7%) lagged.
- U.S. corporate earnings remained robust. By the end of October, 320 companies (71% of market capitalisation) reported results, with 82% beating consensus earnings expectations (vs 73% on average), and earnings 6.4% above those expectations.
- U.S. headline CPI was lower than expected, rising 0.3% in September, 3.0% year-on-year. Annual core inflation – excluding highly volatile food and energy components – was 3.0% in September.
- The Fed delivered its second rate cut of the year, lowering the target fed funds rate by 0.25% to 3.75% - 4.0%, as expected. However, Fed Chair Jerome Powell cautioned that a further cut in December was not a foregone conclusion. The U.S. 10-year bond yield closed the month slightly lower at 4.08% (versus 4.15% at the end of September).
- The Euro Stoxx 600 Index gained 2.5% in October, underperforming the FTSE 100, which climbed 3.9%. The Nikkei 225 Index rose 16.6% in the month, supported by investor optimism after the election of Sanae Takaichi who aims to pursue expansionary fiscal and monetary policies.
- Emerging market equities delivered solid performance in October, climbing 4.1% as measured by the MSCI Emerging Markets Index (USD). The Index is up 30.3% CYTD. Strong performance in Korea supported the Index, with the KOSPI delivering 19.9% over the month.
- The USD Index (the value of the U.S. dollar against a basket of widely recognised, publicly traded currencies) climbed 2.1% in October. The Australian dollar closed the month slightly lower against the USD, at 65.45¢ (vs 66.13¢ in September).

Commodities

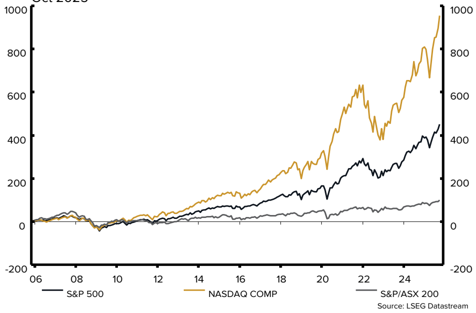
- Commodity markets were mixed. West Texas Intermediate Crude fell 2.2% in October, closing the month at US$60.98/bbl. Brent crude followed, down 2.9% to close at US$65.07/bbl.
- Gold (USD) prices continued to reach record highs. After peaking at US$4,381/oz, gold fell more than 8% in late October driven by profit-taking, although closed the month up 3.7% at US$4,002/oz. Silver also hit new highs, closing the month up 4.4%. Gold and silver are up 52.5% and 68.5% respectively CYTD.

Global Markets – 31 October 2025

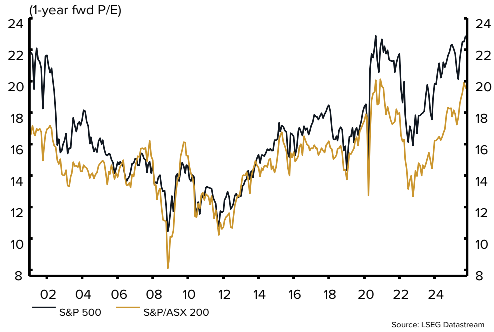
Equities	CYTD	1 Month	3 Months	1 Year	3 Years (p.a.)	5 Years (p.a.)
S&P /ASX 200 Accumulation Index (AUD)	11.9%	0.4%	2.7%	12.5%	13.1%	12.6%
S&P/ASX Small Ordinaries Index (AUD)	22.3%	1.8%	13.2%	19.7%	10.8%	6.7%
S&P 500 Index (USD)	16.3%	2.3%	7.9%	19.9%	20.9%	15.9%
Nasdaq Composite Index (USD)	22.9%	4.7%	12.3%	31.1%	29.2%	16.8%
Russell 3000 Index (USD)	15.6%	2.1%	7.8%	19.3%	20.0%	15.1%
FTSE 100 Index (GBP)	18.9%	3.9%	6.4%	19.8%	11.1%	11.7%
Euro Stoxx 600 (EUR)	12.7%	2.5%	4.7%	13.2%	11.5%	10.8%
Nikkei 225 (JPY)	31.4%	16.6%	27.6%	34.1%	23.9%	17.9%
Hang Seng (HKD)	29.1%	-3.5%	4.6%	27.5%	20.8%	1.5%
MSCI Emerging Markets Index (USD)	30.3%	4.1%	12.7%	25.2%	18.2%	4.9%
MSCI World Ex Australia (AUD)	13.4%	3.3%	6.3%	22.3%	20.9%	17.3%
Bonds						
Bloomberg AusBond Composite Index (AUD)	4.7%	0.4%	0.8%	6.5%	4.1%	-0.2%
Bloomberg Global Agg Bond Index (AUD)	4.5%	0.7%	1.9%	4.8%	4.4%	-0.4%
Currency						
AUD/JPY	3.6%	3.0%	4.1%	0.7%	1.9%	6.5%
AUD/USD	5.8%	-1.0%	1.9%	-0.6%	0.8%	-1.4%

Source: Bloomberg 31 October 2025 (All returns are in local currency terms.)

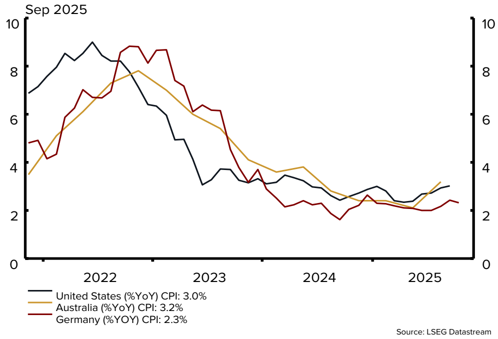
Global Equity Market Performance



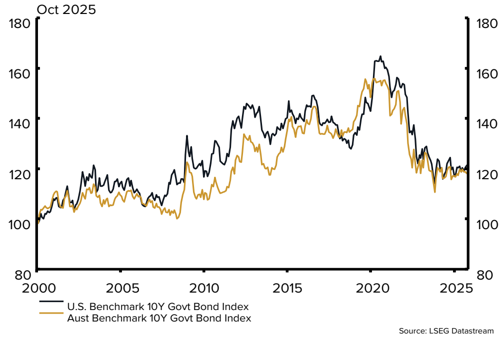
Global Equity Valuations



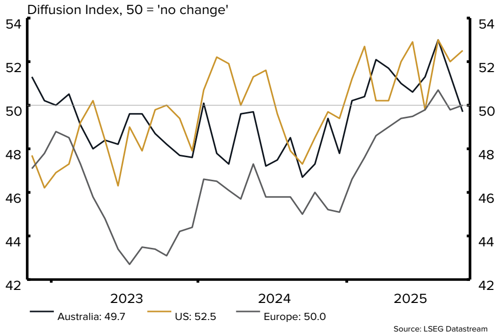
U.S., Aust & German Headline Inflation



U.S. & Aust 10 Yr Government Bond Index



Manufacturing PMIs



AUD/USD FX Rates

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